

MEASURES FOR MSMEs, TAXPAYERS

MSMEs—one of the building blocks of the economy because of their huge contribution to manufacturing as well as employment generation—were another priority of the Budget. The space had registered a series of shocks in the past few years. The Finance Minister has announced a number of measures to support them, including a new credit guarantee scheme, a new assessment model for credit that will be used by banks based on the business's digital footprint, credit support to MSMEs during their stress period as well as enhanced MUDRA loans for eligible borrowers.

Taking forward the theme of something for everyone, the Budget announced tax relief for almost all classes of taxpayers, though the reaction to these proposals have been mixed, given the announcements around the simplification of the capital gains tax regime and taking away of the indexation benefit for real estate. There remain concerns that this could lead to a higher tax outgo on sale of property as well as a return to transactions with a cash component.

Ravi Agarwal, Chairman of the Central Board of Direct Taxes (CBDT), rules out any rethink on the long-term capital gains tax on property that has been lowered to 12.5% from 20% without the benefit of indexation. He says the issue should be seen in the context of property appreciation and the ultimate tax liability. "Instead of just being guided by some calculations, we have to see the ground reality," he says, adding that the way property prices have gone up across regions, the new capital gains tax regime will be beneficial. "In cases where a person has sold a property and purchased a new one, the roll-

over benefit is also available," he says, while rejecting concerns of an increase in the cash component in property transactions. "A lower tax rate will be beneficial to all."

The proposed increase in the rate of securities transaction tax on futures and options of securities to 0.02% and 0.1% respectively

also briefly impacted market sentiments. The government hopes that this nudge will make taxpayers move to other investment options amidst concerns over rising participation by retail investors in stock markets, especially derivative trading, which was also highlighted in the Economic Survey.

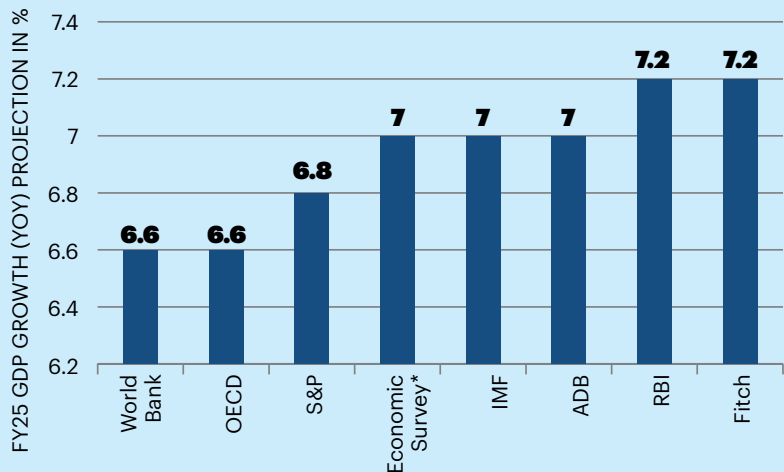


"The way property prices have gone up, the new capital gains tax regime will be beneficial. In cases where a person has sold a property and purchased a new one, then the roll-over benefit is also available"

RAVI AGARWAL CHAIRMAN, CBDT

GDP Growth on Track

● India is seen to grow at over 7% this fiscal ● The Economic Survey has pegged GDP growth at 6.5-7% in FY25, Budget expects nominal GDP growth at 10.5%



NOTE *6.5-7% **SOURCE** BUDGET PAPERS, MINISTRY OF FINANCE